

Stock Update

Result Update

Company details

NSE Code:	SCOM
Market cap:	50.49%
Issued Shares	40.065Bn
52-week high:	KES 40.5
52-week Low	KES 23.1

As at 14th November 2022

Price chart



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	-1.76%	-19.42%	-16.89%	-37.56%

AIB-AXYS Research, NSE

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Safaricom PLC 1H'23 Earnings Note

Recomm: Buy | **Current Price**: KES 25.10 | **Target Price:** KES 35.25

Summary

- **Safaricom PLC 1HY'23 PAT declined 18.40%** as driven by a 32.20% increase in operating expenses as a result of the commencement of full commercial operations in Ethiopia.
- **Revenues increased 4.82% y/y to 153.45 Bn** which included KES 98.30 Mn in revenue from its Ethiopian subsidiary. However, the slowdown in MPESA revenue was observed attributable to lower usage before, during, and after the election period and a decline in voice revenue due to the revised Mobile Termination Rates from KES 0.99 to KES 0.58.
- **Earnings per Share (EPS) declined 8.70% to 0.84 from 0.92 in 1H22.** Due to the continuous capital injection to Safaricom Ethiopia, the board did not recommend an interim dividend for the period.

Key Highlights

- EBIT decline and a rise in capital expenditures as a result of the commencement of operations in Ethiopia. The overall CAPEX during the six-month period ending September 30th 2022, was KES 37.50 Bn, with KES 19.47Bn being spent in Ethiopia. Ethiopia 5-Year Capex guidance is USD 1.50-2.00Bn.
- Voice and SMS revenue cannibalization continued leading to a 3.80% decline in voice revenue. Additionally, a high inflation environment has left customers with a reduced disposable income affecting consumption.

Management Commentary

- Management expressed its intention to partner with the Government to accelerate fibre expansion and Fintech Credit across Kenya.
- Management indicated they had received regulatory approval for the set up of a wealth management business.
- Management cited that subscriber growth had slowed down on account of negative macroeconomic factors.

Valuation

At the Current Market Price, the stock is trading at a reasonable valuation of 14.43x P/E compared to the peer average of 14.25x. We continue to prefer Safaricom, given an improving 4G subscriber mix, expected growth in both Mpesa and Data and expansion to Ethiopia. We maintain a **BUY** recommendation with a revised price target of KES 35.25.

Key Metric

Particulars	HY22
Operating Margin(%)	48.26
ROE (%)	16.18%
ROA(%)	7.97%
P/E (x)	14.43x
P/B (x)	5.38x

Source: Company; AIB-AXYS Estimates

- **Active Customers Growth showed signs of moderation** - Active customers increased by 2.30% y/y to 32.5 Mn, while total revenue increased by 4.82% y/y to KES 15.43Bn thanks to mobile data, which offset a slowdown in M-Pesa revenue growth and a fall in voice revenue. Active voice users fell by 1.60% to 26.70Mn owing to customers continually seeking alternative calling methods such as WhatsApp calls. Additionally, voice revenue fell by 3.81% annually to KES 39.88Bn, and interconnect revenue fell by 14% annually when MTRs fell by 41% beginning on August 1, 2022. SMS also recorded a slow growth with one-month active users increasing 2.10% to 21,3Mn while revenue declined 7.70% to KES 5.40Bn
- **Mpesa growth continues to soar-** Active one-month M-Pesa users increased 8.60% y/y to 31.20Mn, and M-Pesa revenue increased 8.87% y/y to KES 56.86Bn, reflecting a growth rate of 2.70% h/h (1H23 vs 2H22) because of lower usage during the election period. Notably, one-month M-pesa one-month active tills increased by 39.00% while chargeable transactions per one-month active customer increased 16.30% highlighting the growth potential of mobile money.
- **Data revenue driven by 4G expansion** - Data revenue increased 11.30% y/y to KES 26.30Bn, and mobile data users increased by 4.80% to 25.20Mn. Mobile data usage increased by 70% year over year to 3.4GB per customer per month, while mobile data revenue increased by 11% year over year to KES 26 billion. Mobile data users increased by 4.8% year over year to 25.2 million. 19% more people now own a smartphone, and 12.1 million of those utilize 4G.
- **Inflation pressure is affecting consumer behavior** – An increased inflationary environment (6.91% in Sept'21 compared to 9.18% in Sept'22) has led to reduced disposable income and reduced consumer purchasing power. We observed the Fuliza repayment rate reduce to 96.50% from 103.9% in FY'22 while the Mshwari repayment rate also reduced by 7.30% points to 55.50% across a similar period.

Outlook

- **Ethiopia** - After a successful launch, STE had acquired over 740,000 users as of the end of October 2022. This corresponds to almost 20,000 new customers per day and with a similar growth trend, STE is likely to close 2022 with 2Mn customers. Despite the conflict, Ethiopia still holds a compelling growth story with a huge population and mobile penetration below 70% compared to Kenya's 130%. Looking at EthioTelecom's success in the mobile money business (20Mn customers in 12 months) ,we also expect STE's M-Pesa license to be a game changer.
- **Payments to drive mobile money platform** – We expect Mpesa's growth to come from business payments through the Lipa na Mpesa platform and global payments driven by remittances and growing import trade. The business and consumer Super Apps will also be integral in creating and M-pesa ecosystem.

Key Risks

Kenya Business

a. Inflationary pressure leading to shrinking consumer wallets and effectively lowering consumer spending power
b. Currency depreciation – The shilling has lost 7.64% against the dollar so far in 2022
c. Revised Mobile Termination Rates (MTR) to continue affecting the voice business
d. Tough Regulatory environment – New tax imposed on smartphone and sim cards is likely to slow down 5G uptake

Ethiopia Business

a. Political conflict in the Tigray region – The signing of a peace treaty is a positive sign
b. Macro challenges; Inflation which is in the 30% levels, Currency Depreciation
c. Forex Availability after government guidelines on dollar transactions

Financial Statement Summary

1. Statement of Profit and Loss

Particulars (KES Mn)	HY 22	HY 23	YoY (%)
Total revenue	**146,368.4**	**153,430.3**	**4.8**
Service revenue	138,433.6	144,825.4	4.6
Handsets and other revenue	7,841.5	8,440.0	7.6
Other income	93.2	164.9	76.9
Direct costs	(44,536.6)	(46,812.2)	5.1
Expected credit losses on financial assets	(1,012.9)	(1,611.8)	59.1
Operating expenses	(23,414.0)	(30,964.1)	32.2
EBITDA	**77,404.9**	**74,042.2**	**(4.3)**
Depreciation & Amortisation	(19,492.8)	(22,796.3)	16.9
EBIT	**57,912.1**	**51,245.9**	**(11.5)**
Net finance cost	(2,982.8)	(2,932.3)	(1.7)
Share of loss of Associates & Joint Venture	(244.9)	(62.6)	(74.4)
Profit before income tax	**54,684.4**	**48,251.0**	**(11.8)**
Tax Expense	(17,628.8)	(18,021.8)	2.2
Profit After Tax	**37,055.6**	**30,229.2**	**(18.4)**
EPS	0.92	0.84	8.70
Margins (%)			
Operating Margin	52.88	48.26	91.25
Net Profit Margin	25.32	19.7	77.82
Tax rate	32.24	37.35	115.86

2. Statement of Financial Position

Particulars (KES Mn)	FY 22	HY 23	% Change
Total Assets	**346,798.6**	**379,432.1**	**9.4**
Non-Current Assets	281,548.6	311,329.8	10.6
Current Assets	65,250.0	68,102.3	4.4
Total Liabilities	**167,097.7**	**192,645.2**	**15.3**
Non-Current Liabilities	68,947.1	80,420.2	16.6
Current Liabilities	98,150.6	112,225.0	14.3
Total Equity	**179,700.9**	**186,786.9**	**3.9**

3. Statement Of Cash Flows

Particulars (KES Mn)	HY 22	HY 23	% Change
Net cash generated from operating activities	56,922.2	40,479.2	(28.9)
Net cash used in investing activities	(115,099.3)	(29,238.3)	(74.6)
Net cash generated from/(used in) financing activities	57,917.9	(26,096.2)	>100
Closing cash and cash equivalents	**26,450.5**	**15,982 .4**	(39.6)

Source: Company Fillings, AIB-AXYS Estimates



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